

Conduct of Business Rulebook (COBS)

*In this attachment underlining indicates new text and striking through indicates deleted text.



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3.4 Suitability

3.4.1 Application

The Rules in this section do not apply where the Authorised Person undertakes:

- (a) ~~undertakes~~ a Transaction with a Professional Client which is a Market Counterparty;
- (b) ~~undertakes~~ an Execution-Only Transaction;
- (c) ~~undertakes~~ the Regulated Activities of Accepting Deposits, Providing Credit, Operating a Private Financing Platform, Operating a Multilateral Trading Facility, ~~or Operating an Organised Trading Facility or Providing Custody; or~~
- (d) ~~carries on~~ an activity of the kind described in section 67 of Chapter 14 of Schedule 1 of FSMR that constitutes marketing.

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17.1 Application and Interpretation

17.1.1 This chapter applies to:

- (a) an Authorised Person conducting one or more of the a Regulated Activities of
 - (i) Dealing in Investments as Principal;
 - (ii) Dealing in Investments as Agent;
 - (iii) Advising on Investments or Credit;
 - (iv) Arranging Deals in Investments;
 - (v) Managing Assets;
 - (vi) Providing Custody;
 - (vii) Operating a Multilateral Trading Facility

where done so in relation to Virtual Assets, ~~and/or~~

- (b) an Authorised Person conducting a Regulated Activity in relation to Fiat-Referenced Tokens, where specifically indicated in this chapter; ~~Fiat-Referenced Tokens.~~

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17.1.4 The following COBS Rules ~~should~~ must be read as applying to all Transactions undertaken by an Authorised Person conducting a Regulated Activity in relation to Virtual Assets

irrespective of any restrictions on application or any exception to these Rules elsewhere in ~~GOBS~~ this Rulebook. All references to Specified Investments or Investments in such Rules must be read as encompassing “Virtual Asset” or “Virtual Assets”, as applicable:

- (a) Rule 3.4 (Suitability);
- (b) Rule 6.5 (Best Execution);
- (c) Rule 6.7 (Aggregation and Allocation);
- (d) Rule 6.10 (Confirmation Notes);
- (e) Rule 6.11 (Periodic Statements); and
- (f) Chapter 12 (Key Information and Client Agreement).

17.2 Accepted Virtual Assets

17.2.1 An Authorised Person conducting a Regulated Activity in relation to Virtual Assets ~~must only use~~ must not conduct such Regulated Activity with a Virtual Asset which is not an Accepted Virtual Assets.

17.2.2 For the purposes of determining whether, ~~in its opinion,~~ a Virtual Asset meets the requirements of being an Accepted Virtual Asset, ~~the Regulator will consider an~~ Authorised Person conducting a Regulated Activity must adequately assess the following criteria: -

- ~~(a) — a maturity/market capitalisation threshold in respect of a Virtual Asset; and~~
- ~~(b) — other factors that, in the opinion of the Regulator, are to be taken into account in determining whether or not a Virtual Asset meets the requirements to be considered appropriate for the purpose of an Authorised Person conducting a Regulated Activity in relation to Virtual Assets.~~
- (a) Traceability / monitoring: whether the Authorised Person is able to demonstrate the origin and destination of the specific Virtual Asset, the Virtual Asset enables the identification of counterparties to each transaction, and on-chain transactions in the Virtual Asset can be adequately monitored;
- (b) Security: whether the Virtual Asset is able to withstand, adapt, respond to, and improve on its specific risks and vulnerabilities, including relevant factors and risks relating to its use, including testing, maturity, and ability to allow the appropriate safeguarding of secure private keys;
- (c) Market Profile: the duration the Virtual Asset has been in existence, the sufficiency, depth and breadth of market demand, the proportion of the Virtual Asset that is in circulation, the controls/processes to manage volatility of such Virtual Asset and all sanctions and adverse media in respect of the parties associated with the Virtual

Asset, including founders, contributors, foundation members, investors and key decision-makers. This extends to establishing whether there is any association of the Virtual Asset with illegal activities or any serious concerns that its use may circumvent sanctions restrictions;

- d) Exchange connectivity: whether there are exchanges that support the Virtual Asset; the jurisdictions of these exchanges and whether such exchanges are suitably regulated;
- (e) DLT infrastructure and ecosystem (“DLT”): whether there are issues relating to the security and/or usability of the DLT used for the purposes of the Virtual Asset; whether the Virtual Asset leverages an existing DLT for network and other synergies, and, if not, whether a new DLT has been demonstrably stress tested;
- (f) Innovation / efficiency: whether the Virtual Asset demonstrates utility by, for instance, helping to solve a fundamental problem, addressing an unmet market need or creating value for network participants; and
- (g) Practical application / functionality: whether the Virtual Asset possesses quantifiable functionality.

17.2.3 Prior to commencing a Regulated Activity in relation to a Virtual Asset, an Authorised Person must satisfy themselves that the Virtual Asset meets the assessment criteria set out in Rule 17.2.2.

17.2.4 An Authorised Person must notify the Regulator of its intention to conduct a Regulated Activity with a Virtual Asset not later than five Business Days prior to commencing such Regulated Activity. Notification under this Rule must be in such form as the Regulator may prescribe.

17.2.5 In the absence of written direction given under Section 5B of FSMR, an Authorised Person may consider a Virtual Asset for which it has submitted the notification required under Rule 17.2.4 as an Accepted Virtual Asset and, subject to Rule 17.2.6, may commence the conduct of a Regulated Activity with such Accepted Virtual Asset.

17.2.6 An Authorised Person conducting a Regulated Activity in relation to an Accepted Virtual Asset must:

- (a) maintain upon its website a current list of all Accepted Virtual Assets with which it is permitted to conduct a Regulated Activity; and
- (b) continuously monitor all Accepted Virtual Assets with which it conducts a Regulated Activity to ensure its continuing satisfaction of the criteria specified in Rule 17.2.2.

Guidance

When conducting an assessment of a Virtual Asset in accordance with Rule 17.2.2, an Authorised Person should consider the Regulator’s published guidance - Guidance – Regulation of Virtual Asset Activities in ADGM.

~~17.2.3 For the purposes of Rule 17.2.1, the maturity/market capitalisation requirements are set out in the accompanying Guidance published by the Regulator concerning Virtual Assets that accompanies this chapter.~~

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17.3 Capital Requirements

17.3.1 The capital requirements set out in MIR Rule 3.2 (Capital Requirements) must apply to an Authorised Person conducting ~~at the Regulated Activity of Operating a Multilateral Trading Facility~~ in relation to Virtual Assets.

17.3.2 For the purposes of ~~this paragraph 17.3~~ Rule 17.3.1, all references in MIR Rule 3.2 to “Recognised Investment Exchange” shall be read as references to “Authorised Person”.

Guidance

Authorised Persons conducting a Regulated Activity other than Operating a Multilateral Trading Facility in relation to Virtual Assets are required to satisfy the requirements relevant to such Regulated Activity as set out in PRU.

17.4 International Tax Reporting Obligations

17.4.1 An Authorised Person conducting a Regulated Activity in relation to Virtual Assets or Fiat-Referenced Tokens, where applicable, ~~should consider any~~ must comply with all reporting obligations in relation to, ~~among other things –~~

- (a) FATCA, as set out in the Foreign Account Tax Compliance Regulations 2022; and
- (b) Common Reporting Standards, set out in the *ADGM Common Reporting Standard Regulations* 2017.

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17.8 Additional Rules Applicable to an Authorised Person Providing Custody or arranging custody in relation to Virtual Assets

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17.8.5 Before an Authorised Person arranges for a Client to engage a custodian for the purpose of the safekeeping of Virtual Assets, the Authorised Person must undertake an assessment of that custodian and have concluded on reasonable grounds that such custodian is suitable to hold the Virtual Assets of the Client. When assessing the suitability of a custodian to hold Virtual Assets belonging to a Client, an Authorised Person must have regard to the criteria set out in Rules 15.5.3 and 17.5.

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